

HOW WE DID IT

The methodology behind the *BT*-PwC India's Best CEOs ranking

By **Rahul Oberoi**

► **BT's** Best CEOs ranking is in its 10th year, with PwC India as knowledge support partner. The methodology takes into account both quantitative performances as well as qualitative aspects. First, a series of checks and filters were applied to the universe, the *BT*500 ranking of India's Most Valuable Companies (by average market capitalisation of a year). Only companies with revenues of more than ₹1,000 crore were considered. The study period was FY19, FY20 and FY21, and firms with accounting periods of 9-15 months in these periods made it. Those whose latest audited financial year results were not available were dropped, as were those which posted a net loss in any of these fiscals. Those which made their debut on the bourses in this period weren't considered. To qualify for the rankings, CEOs (or executive heads) had to be in the job for the full study period. In the case of PSUs, the period was at least one fiscal. A total of 237 companies made the cut.

Then, growth in total income, profit before interest and tax (PBIT) and total shareholder returns (TSR) were considered, that too for only standalone results. Firms were assigned a score on the average of year-on-year absolute change and three-year CAGR in total income and PBIT. For BFSI firms, profit before tax was considered in place of PBIT, and geometric CAGR for non-performing assets (NPA) was added. TSR was calculated taking into account the net price change plus dividends. Thereafter, scores were given to all these parameters, and then added up to get the overall ranking.

Thereafter, the firms were split into four categories:

Super Large (total income of more than ₹1 lakh crore); Large (₹50,000-1 lakh crore); Mid-sized (₹10,000-50,000 crore); and Emerging (₹1,000-10,000 crore). They were also split into 16 sectors. PwC India reviewed and validated the process. The names of the top three CEOs in each group—overall and sector-wise—were placed before the jury. The final winners that you see in this edition were all chosen by the jury comprising P.S. Jayakumar, former CEO, Bank of Baroda, and former country head (consumer banking), Citibank; Amish Mehta, MD and CEO, CRISIL; Haigreve Khaitan, Partner (mergers and acquisitions, private equity, estate planning, trusts and private client), Khaitan & Co; and Amit Tandon, Founder and MD, Institutional Investor Advisory Services India Limited (IIAS). Sourav Majumdar, Editor, *Business Today* and Vivek Prasad, Partner and Markets Leader, PwC India, provided knowledge support and perspective, but did not vote.

Data for the entire exercise was sourced from corporate database ACE Equity. **BT**

PHOTO BY MANDAR DEODHAR



(From left) Amish Mehta, P.S. Jayakumar, Amit Tandon, Sourav Majumdar, Vivek Prasad and Haigreve Khaitan

Venue Courtesy: The Quorum, Mumbai

@iamrahuloberoi